Before you risk a single dollar, you need a framework that protects you from the mistakes that blow up most new traders. Risk management is not optional — it is the difference between staying in the game long enough to get good and going to zero before you learn anything. The concepts in this guide are non-negotiable standards, not suggestions.

RULE 1

The 1% Rule

Never risk more than 1% of your total account on a single trade. On a $10,000 account, your maximum loss per trade is $100. On a $25,000 account it is $250. This is not a guideline — it is the rule that keeps you alive long enough to become consistently profitable. Most traders who blow up accounts were not bad at reading charts. They were bad at sizing.

RULE 2

The Daily Max Loss Rule

Set a daily maximum loss of 3% of your account. The moment you hit it, stop trading for the day. Close your platform if you have to. A bad day becomes a catastrophic day when you keep trading to get it back. The market will be there tomorrow. Your account may not be if you ignore this rule.

RULE 3

Stop Placement

Your stop loss defines when you are wrong. Place it at a level that invalidates your thesis — below support for longs, above resistance for shorts. Never move your stop further from your entry to avoid a loss. That is not risk management, that is hoping — and hope is not a strategy.

RULE 4

Position Correlation

If you are long NVDA, AMD, and TSMC simultaneously, you are not in three separate trades — you are in one large bet on semiconductors. Correlated positions multiply your real risk far beyond what individual position sizes suggest. When one sector turns, they all turn together.

RULE 5

Consistency Over Comfort

The trades that feel riskiest are often your best setups. The trades that feel safest are often the ones that have already priced in the move. Position size is determined by account size and defined risk — not by how confident you feel in the moment.

POSITION SIZING FORMULA

```
Shares = (Account Size × Risk %) ÷ (Entry Price − Stop Price)
```

Example: $10,000 account · 1% risk = $100 max loss · Entry $52.00 · Stop $50.00 · Distance = $2.00 · Shares = $100 ÷ $2.00 = 50 shares

POSITION SIZING REFERENCE TABLE

ACCOUNT SIZE	1% RISK $	STOP $2 AWAY	STOP $3 AWAY	STOP $5 AWAY	STOP $10 AWAY
$5,000	$50	25 shares	16 shares	10 shares	5 shares
$10,000	$100	50 shares	33 shares	20 shares	10 shares
$25,000	$250	125 shares	83 shares	50 shares	25 shares
$50,000	$500	250 shares	166 shares	100 shares	50 shares
$100,000	$1,000	500 shares	333 shares	200 shares	100 shares

MOST COMMON RISK MANAGEMENT MISTAKES

MISTAKE	WHY IT HAPPENS	THE CONSEQUENCE	THE FIX
Moving the stop	Hope the trade comes back	Small planned loss becomes large unplanned one	Honor the stop you set — it was right when you placed it
Averaging down into losers	Price feels cheaper	Turns small losses into account-blowing losses	Stop defines when you are wrong — exit, do not add
Ignoring correlation	Positions look different	One sector move hits all positions simultaneously	Treat correlated positions as one combined trade
Skipping position sizing	Feels like extra work	Inconsistent risk makes results inconsistent	Calculate every trade before entry — no exceptions
Trading after max loss	Trying to recover	Bad day becomes catastrophic day	Close the platform — come back tomorrow

> **TST CORE PRINCIPLE**
>
> A loss is only a problem if it is bigger than planned. Every losing trade that stays within your risk parameters is a good trade — you executed your plan. Every trade that exceeds your planned risk is a bad trade regardless of outcome. The goal is not to win every trade. The goal is consistent execution of a process that wins over time.

This guide covers foundational risk principles. The full TST Academy course goes deeper into position sizing, scaling, and live risk management at topstocktrading.com